D 160 | Options are not cash or issued shares

FICTIONAL offline ESOP cash, vesting and secondary lab. No real exercise, transfer, buyback, loan, filing, employee advice, notice, account or spend.

Cash scenario	10000 vested options, strike 80, exercise-date FMV 200, stipulated 30% spread collection. Exercise 800000; modeled positive spread 1200000; collection 360000; upfront 1160000. No deferral, surcharge, cess, fees or actual tax rate inferred.
Later sale is separate	Sale 260 gives 2600000 gross and 600000 sale-minus-FMV gain before separately determined gains tax/costs. Sale 20 gives negative 1800000 gain, not automatic salary-tax refund. Net after upfront cash is not final after-tax wealth.
No liquidity probability	Quoted valuation, FMV or buyer indication is not executable liquidity. Buyer withdrawal leaves upfront cash exposed. No probability or recommendation to exercise is computed. Real affordability, concentration, plan, exercise window and tax law unresolved.
Separate vesting	4800 options over 48 months, 100 accrued/month, 12 month cliff releases 1200 then 100/month. Month 18=>1800, month 11=>0. Whole completed months; no acceleration/leaver changes. Vested rights are not shares, votes or cash.
Separate secondary	8000 existing shares at 5000=>40000000 gross (4 crore). Issued 1000000 unchanged, buyer .008=.8%. Company primary cash 0, new issued 0. Gross is not net; tax/fees/cost basis unknown. Secondary is not company buyback.
Unknown rights	60 person company/stated 12% pool are narrative only, not proof of grants or entitlement. Promise, grant, vesting, exercise, authorized, issued, reserved, granted, lapsed categories need reconciliation. Preserve evidence, no automatic nullity or backdating.

Exercise inputs | Rate and timing are assumptions

Shaded fictional inputs. Rupees, shares/options, whole completed months or fractions as labeled.

Vested options actually exercised (whole)	10000.00
Strike rupees/share	80.00
Stipulated exercise-date FMV rupees/share	200.00
Illustrative positive-spread collection fraction	0.30
Later hypothetical sale price rupees/share	260.00

Numeric/domain gate (1 yes)	1.000000

Zero exercise quantity/strike/FMV/sale allowed; negative spread clipped to 0 for illustrative collection only, not a tax opinion. Negative modeled sale gain retained. Entire exercised quantity assumed sold at supplied price, no executable buyer/probability, deferral or true tax liability.

Exercise cash | Upfront exposure, not a recommendation

Conditional fictional arithmetic only. Rupees except labeled quantities, fractions or ratios.

Exercise purchase cost	800000.000000
Positive modeled per-share spread	120.000000
Total modeled spread	1200000.000000
Illustrative spread collection	360000.000000
Upfront exercise plus collection cash	1160000.000000
Later sale gross proceeds	2600000.000000
Modeled sale gain relative to supplied FMV basis	600000.000000
Sale cash minus upfront outflow, before sale tax/costs	1440000.000000
No-sale cash outflow retained (signed)	-1160000.000000
Positive sale price covering upfront cash only	116.000000

Baseline 800000, 120, 1200000, 360000, 1160000, 2600000, 600000, 1440000, -1160000, 116. At sale 20 modeled gain-1800000, cash net-960000; collection 360000 unchanged, not refunded. Threshold 116 is before separate capital gains tax/costs and assumes full sale; not a fair value or exercise signal.

Vesting inputs | Explicit completed-month convention

Shaded fictional inputs. Rupees, shares/options, whole completed months or fractions as labeled.

Total grant options (whole)	4800.00
Vesting duration months (positive whole)	48.00
Cliff completed month (whole)	12.00
Completed months since start (whole)	18.00

Numeric/domain gate (1 yes)	1.000000

Monthly straight-line accrual; cliff releases accrued amount, then accrual continues. Zero grant/cliff/month allowed. Fractional vested quantities can arise with changed inputs; actual rounding/partial-month/acceleration/leaver terms not solved. Months beyond duration capped.

Vesting | Accrual is not a share issue

Conditional fictional arithmetic only. Rupees except labeled quantities, fractions or ratios.

Options accrued per month	100.000000
Months counted, capped at duration	18.000000
Vested options under supplied cliff	1800.000000
Unvested options	3000.000000
Vested fraction	0.375000

Baseline 100/month, 18 counted, 1800 vested, 3000 unvested, .375 fraction. At 11 months 0; 12 months 1200; 48 or 60 months 4800. Double trigger requires actual specified events/window, not any resignation or automatic cash on acquisition. No universal 90 day exercise deadline.

Secondary inputs | Existing-share transfer only

Shaded fictional inputs. Rupees, shares/options, whole completed months or fractions as labeled.

Existing shares sold (whole)	8000.00
Sale price rupees/share	5000.00
Issued shares denominator unchanged (whole)	1000000.00

Numeric/domain gate (1 yes)	1.000000

Seller stipulated to own the shares sold; no actual title/restriction evidence. Transfer of existing shares, not issuance or company repurchase. Price can 0 as arithmetic boundary, not legal approval. No net tax/fees/cost basis or buyer settlement assumed.

Secondary | Seller gross, not company funding

Conditional fictional arithmetic only. Rupees except labeled quantities, fractions or ratios.

Seller gross proceeds rupees	40000000.000000
Buyer fraction of unchanged issued shares	0.008000
Issued shares after transfer	1000000.000000
New shares issued by this transfer	0.000000
Company primary cash from this transfer	0.000000
Seller gross proceeds crore	4.000000

Baseline 40000000 rupees=4 crore, buyer .008=.8%, issued 1000000 unchanged, new issued 0, primary cash 0. Four crore NET cannot be inferred. Review ROFR/co-sale/consent, title, class, pricing, tax, FEMA/residency, filings and settlement. No universal discount, exit-risk signal or interchangeable buyback rules.

Remediation | Preserve evidence before a conclusion

Private checklist for review, not actual employee notices, ratification, scheme registration, legal advice or board action.

Reconcile categories	Collect dated offer promises, grant letters, plan, approvals, registers, cap table and accounting. Separate authorized/issued/reserved/granted/vested/exercised/lapsed; avoid double counting reserved with its subcategories. Stated 12% pool and 60 employees do not determine rights or options per employee.
Assess rights carefully	Incomplete approvals do not automatically make every promise void or every employee a shareholder. Preserve communications, conditions, affected people and reliance evidence. Qualified counsel determines contractual/equitable rights, lawful remedies and prospective correction; no backdating.
Pricing and accounting	Strike, grant-date option valuation, tax FMV and transaction price serve different purposes. Verify actual company/private-listed/SEBI branch, Companies Act/Rule 12/exemptions/current amendments, eligibility, documents/register/accounting. No universal grant at FMV or scheme-registration rule.
Exercise and liquidity	Require real plan/leaver dates, exercise window, tax basis, affordability, concentration and sale conditions. Buyer withdrawal can strand exercise/tax cash. No quotation proves executable liquidity or suitable exercise. Do not recommend borrowing or assume automatic refund after loss.
Secondary versus buyback	Conditional outline for an existing-holder transfer, not company issuance/buyback. Separate title/ROFR/co-sale/consents, share class, pricing, tax, FEMA, residency, filing, escrow/settlement. Gross and net differ; no actual broker, buyer or company contact.
Foreign-parent issue map	Issuer/employee/entity/residency, scheme and instrument rights, ownership/control, OPIvs ODI, AD bank/reporting, LRS, tax, treaty, foreign asset and employment facts separately. Selected RBI provisions can classify qualifying ESOP holdings as OPI; not every grant automatically ODI or tax-exempt.

Current sources | Primary text is not case clearance

Selected operative provisions only, not all 686 pages, implementing rules or transition issues. The model uses stipulated 30%, not an actual tax rate.

Perquisite value	Official Income-tax Act 2025 as amended by FA 2026: section 17(1)(d) covers specified employer securities allotted or transferred. Section 17(4)(h) uses exercise-date FMV less amount paid; 17(4)(e) defines an option as a right, not an obligation. Elite cites 17(5)(h), but the official PDF says 17(4)(h).
Acquisition basis	Section 73(1), Table item 4, uses the FMV taken into account for section 17(1)(d). Relevant table text and pixels checked. Toy sale gain subtracts the 200 FMV basis, not the 80 strike or all 26 lakh proceeds. Actual valuation method, rates, holding period and rules remain unverified for an employee.
Eligible-startup timing	Sections 289(3), 391(2), 392(1)-(3) link specified eligible-startup income to payment within 14 days of the earliest: 60 months from relevant tax-year end, sale, or ceasing employment. Section 140 conditions include incorporation from April 2016 to before April 2030, IMB certification and the amended 300 crore turnover limit. No actual eligibility proved.
Transition and boundaries	Commencement: April 1, 2026. Selected opening of section 536(2) preserves earlier operation, liabilities and proceedings. This is not a full transition review. Old references are not automatically invalid and legacy grants do not migrate without checking the actual exercise, allotment, tax year and rules. No deferral deadline computed.
RBI April 1, 2026	Opening, selected definitions and paragraph 22(1)-(7) read with adjacent qualifications. Specified ESOP, sweat-equity and minimum-qualification holdings up to 10% without control can qualify as OPI, even if unlisted. Reporting and remittance branches differ. No generic unlisted-equals-ODI conclusion or actual filing/remittance.
Scope of scrutiny	Official PDF recovered in full, but only selected sections and partial transition read; seven source pages visually checked. RBI evidence is selected written text, not all linked rules/reporting directions. Actual company law, tax, FEMA, residency and eligibility remain unresolved. No native Excel/Sheets, learner, account, field or overall 10 pass.

Actual evidence | Unknown is not zero risk

No actual company, employee, options, shares, permission, accepted legal/tax reviewer or buyer settlement evidence.

Person / case	Document / date	Rights / count	Approval gap	Tax / law issue	Permission / reviewer	Next safe check

Blank actuals never become consent, liquidity, valid grant, automatic nullity or tax relief. No actual notice, board message, signature, exercise, share transfer, buyback, loan, filing, account, calendar, spend or employee-specific advice.

Evidence | Historical and product claims qualified

Six URLs and six publishers: primary government text, historical/current practitioner guidance and a vendor homepage. Not independent legal or tax clearance.

Capitalmind 2021	Complete returned written article read, not video/images. Its vesting-obligation sentence conflicts with its own allotment/exercise explanation. Historical eligibility dates, 100 crore, 48-month deferral and 34.32% example are not current-law findings. No automatic salary-tax refund after a capital loss.
Startup India 2019	Complete returned government-hosted author article read, not a consolidated statute. Approval, valuation, vesting, price and advice claims need current company/rules checks. No automatic shareholder status before exercise or universal recommendation to defer exercise.
Equity List homepage	Complete returned written homepage and illustrative product cards read, not images, product UI, certifications or pricing. Marketing AI, security and customer claims not independently verified. No signup, upload, account, migration, reminder, approval, filing or cap-table action.
RBI current direction	Selected opening, definitions and paragraph 22 with adjacent text read, not the entire direction or all linked rules/reporting material. The up-to-10%, no-control ESOP OPI branch is included. Actual residency, instrument rights, reporting and tax case are not cleared.
Income Tax official PDF	Full public PDF recovered after direct-download 403 and truncated text fetch. Selected sections 17, 73 Table item 4, 140, 289, 391, 392 and opening of 536 read; selected pixels checked. Not all 686 pages, rules, rates, forms, treaties, cases or employee eligibility.
Elite June 25, 2026	Complete returned practitioner article read. Exercise versus allotment FMV wording is inconsistent; its 17(5)(h) reference differs from primary 17(4)(h). Rates, forms, 180-day rule and advice were not fully primary-verified and are not adopted as actual advice. Old citations are not universally invalid.

Source 1 | open verified source

Source 2 | open verified source

Source 3 | open verified source

Source 4 | open verified source

Source 5 | open verified source

Source 6 | open verified source

Failure log | Authored cash and rights distinctions

No actual exercise, tax opinion, legal review, native cross-viewer, learner or overall 10.

1	PASS: 24 baseline formulas independently recomputed.
2	PASS: 12 changed sets / 288 checks.
3	PASS: 21 boundaries / 504 checks.
4	PASS: 38 invalid sets / 912 checks.
5	PASS: loss retained; no automatic salary-tax refund modeled.
6	PASS: 6 broken references propagated; baseline restored.
7	PASS: actual facts, reviewer and permission remain blank.
8	Authored arithmetic only; no legal/native/learner/overall 10 claim.